IN THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH (COURT – II)

Item No.1
Supplementary List

CA(CAA) No. 43/Chd/Hry/2023
(1st Motion)

IN THE MATTER OF:

Convergys India Services Private Limited
...Applicant Company 1/Demerged Company

And

Convergys Technologies (India) Private Limited
…..Applicant Company 2/Resulting Company No.1

And

Concentrix Services (Netherland) BV
...Non-Applicant Company/ Resulting Company No.2

Under Section: 230-232, CA 2013

Order delivered on 17.01.2024

CORAM:
DR. PSN PRASAD,
HON'BLE MEMBER (J)

SHRI UMESH KUMAR SHUKLA
HON'BLE MEMBER (T)

PRESENT:
For the Petitioner : Mr. Atul V Sood, Advocate

ORDER

In the scheme of arrangement proposed by the applicant companies Convergys India Services Private Limited & Concentrix Technologies India Private Limited and non-applicant company, Concentrix Services (Netherlands) BV, two issues have been raised for clarification:

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17.01.2024.

i. Whether the proposed issue of shares by Non-Applicant Company, which is a foreign company having registered office in the Netherlands in consideration of the proposed scheme of arrangement between Applicant Company No.1 and Applicant Company No. 2, which are Indian companies having registered office in India is legal? If so the precedent in this regard may be submitted.

ii. Whether the schemes of arrangement between the companies would attract the provisions of Competition Act 2002 in terms of thresholds limit of the three prescribed criteria namely asset, turnover and transaction value, both for individual and group companies both 'In India' as well as 'In India and Outside India'.

With regard to issue at (i) the counsel for the petitioner companies stated that vide affidavit dated 25.09.2023 having diary No.02889/01, he has submitted three instances of similar nature where orders are passed by the coordinate Benches. Upon perusal of these three cases, it is noted that facts of these cases needs to be correlated with the present case more particularly with reference to the judgements quoted therein. The counsel was directed to place on record the judgments referred to in these three cases. Further, on perusal of the relevant provisions of the Companies Act and Rules, the rationale of giving the consideration by non-applicant company has to be properly explained as each company is a separate legal entity. The counsel may place on record any judgment of the superior court viz NCLAT, High Court and Supreme Court in this regard. In response, it was submitted by the counsel of the petitioner companies

that Tribunal need not look into these aspects in first motion application as it is only for dispensation of the meeting(s). He also cited two Apex Court's judgments in this regard. The counsel was directed to place on record the copy of these judgments cited by him.

With regard to issue at (ii), it was submitted by the counsel for the petitioner companies that he has furnished the affidavit at Annexure A-29 of the petition. On perusal of the affidavit, it was noted that the affidavit has not dealt with how the petitioner's companies are exempted with respect to threshold limits of the three prescribed criteria. The petitioner agreed to submit the detailed affidavit in this regard.

10 days' time is granted to the counsel to comply with the above directions. Let the matter be now posted on 16.02.2024.

Sd/-
(DR. PSN PRASAD)
MEMBER (J)

Sd/-
(UMESH KUMAR SHUKLA)
MEMBER (T)

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17.01.2024.